UNIT V: INTERNATIONAL TRANSACTIONS AND FINANCIAL MARKETS

1. International Transactions and Financial Markets

Meaning

International transactions refer to economic dealings between residents of different countries involving goods, services, investments, and financial assets.

Financial markets facilitate the exchange of financial instruments such as currencies, stocks, bonds, and derivatives across nations.

Features

1. Cross-border transactions.
2. Involvement of foreign currencies.
3. Subject to exchange rate fluctuations.
4. Influenced by international economic conditions.

Types of International Transactions

1. Current Account Transactions

- Export and import of goods.
- Services such as tourism and banking.
- Remittances.

2. Capital Account Transactions

- Foreign Direct Investment (FDI).
- Foreign Portfolio Investment (FPI).
- International borrowing and lending.

Importance

- Promotes international trade.
- Facilitates capital movement.
- Encourages economic growth.
- Provides investment opportunities.

Conclusion

International financial markets play a vital role in linking economies and promoting global economic development.

2. Exchange Rate Determination

Meaning

Exchange rate is the price of one currency expressed in terms of another currency.

Example:
1 USD = ₹85

Determination of Exchange Rate

Demand for Foreign Exchange

Demand arises due to:

- Imports
- Foreign travel
- Foreign investments

Supply of Foreign Exchange

Supply arises due to:

- Exports
- Foreign investments
- Remittances

Equilibrium Exchange Rate

- Exchange rate is determined where demand equals supply.
- Excess demand increases exchange rate.
- Excess supply decreases exchange rate.

Factors Affecting Exchange Rate

1. Inflation.
2. Interest rates.
3. Balance of Payments.
4. Government policies.
5. Speculation.

Conclusion

Exchange rate determination is essential for maintaining stability in international trade and investment.

3. Money, Interest Rate and Exchange Rate

Introduction

Money supply and interest rates significantly influence exchange rates.

Relationship

Money Supply ↑

- Interest rate ↓
- Foreign investment ↓
- Currency value ↓

Money Supply ↓

- Interest rate ↑
- Foreign investment ↑
- Currency value ↑

Interest Rate Effect

Higher interest rates attract foreign capital.

Example:
If India's interest rate is higher than other countries, foreign investors invest more in India, increasing demand for rupees.

Importance

- Helps monetary policy formulation.
- Influences foreign investment.
- Affects exchange rate stability.

Conclusion

Money supply and interest rates are important determinants of exchange rate movements.

4. Price Level and Exchange Rate in the Long Run

Meaning

The long-run exchange rate depends on relative price levels between countries.

Purchasing Power Parity (PPP) Theory

Developed by:
Gustav Cassel

Statement

Exchange rate between two currencies equals the ratio of their price levels.

Formula

Exchange Rate = Domestic Price Level / Foreign Price Level

Example

India Price Index = 200

USA Price Index = 100

Exchange Rate = 200/100 = ₹2 per dollar

Effects of Inflation

Higher Domestic Inflation

- Exports decrease.
- Imports increase.
- Currency depreciates.

Lower Domestic Inflation

- Currency appreciates.

Advantages

- Simple theory.
- Explains long-run exchange rates.

Limitations

- Ignores transport costs.
- Assumes free trade.

Conclusion

Price levels play an important role in determining exchange rates over the long run.

5. Output and Exchange Rate in the Short Run

Meaning

In the short run, exchange rates are influenced by output, income, and spending patterns.

Relationship

Increase in National Income

- Imports increase.
- Demand for foreign currency increases.
- Domestic currency depreciates.

Decrease in National Income

- Imports decrease.
- Domestic currency appreciates.

Factors Affecting Short-Run Exchange Rate

1. Income levels.
2. Consumer spending.
3. Government expenditure.
4. Market expectations.

Importance

- Explains temporary exchange rate fluctuations.
- Helps policy makers understand exchange rate volatility.

Conclusion

Changes in output and income affect exchange rates in the short run through import demand and capital flows.

6. Fixed and Floating Exchange Rates

Fixed Exchange Rate

Meaning

Government or Central Bank fixes the value of currency.

Features

- Stable exchange rate.
- Controlled by Central Bank.

Advantages

1. Stability in trade.
2. Reduces uncertainty.
3. Encourages investment.

Disadvantages

1. Requires large reserves.
2. Limited monetary policy.

Floating Exchange Rate

Meaning

Exchange rate determined by market forces.

Features

- Demand and supply determine rate.
- Government intervention is minimal.

Advantages

1. Automatic adjustment.
2. Independent monetary policy.

Disadvantages

1. High volatility.
2. Exchange rate uncertainty.

Difference Between Fixed and Floating Exchange Rates

Fixed Rate	Floating Rate
Government controlled	Market determined
Stable	Flexible
Requires reserves	No large reserves
Less uncertainty	More uncertainty

Conclusion

Both systems have advantages and disadvantages depending on a country's economic conditions.

7. Mundell–Fleming Model

Meaning

The Mundell-Fleming Model explains the relationship between national income, interest rates, and exchange rates in an open economy.

Assumptions

1. Small open economy.
2. Perfect capital mobility.
3. Short-run analysis.
4. Fixed or floating exchange rates.

Importance

- Extension of IS-LM model.
- Explains effects of fiscal and monetary policy.

Under Floating Exchange Rate

Monetary Policy

- Very effective.
- Increases income and output.

Fiscal Policy

- Less effective.

Under Fixed Exchange Rate

Fiscal Policy

- Very effective.

Monetary Policy

- Less effective.

Advantages

1. Useful in macroeconomic analysis.
2. Explains open economy behavior.

Conclusion

The Mundell-Fleming Model is widely used to analyze economic policies in open economies.

8. Uncovered Interest Rate Parity (UIP)

Meaning

UIP states that the difference in interest rates between two countries equals the expected change in exchange rates.

Formula

Domestic Interest Rate = Foreign Interest Rate + Expected Depreciation

or

$i = i^* + (E^e - E)/E$

Assumptions

1. Free capital mobility.
2. Rational expectations.
3. No transaction costs.

Importance

1. Explains capital flows.
2. Helps predict exchange rates.
3. Useful in international finance.

Example

India Interest Rate = 8%

USA Interest Rate = 5%

Expected Rupee Depreciation = 3%

Hence UIP holds.

Limitations

1. Exchange rates are difficult to predict.
2. Market imperfections exist.

Conclusion

UIP is an important theory explaining the relationship between interest rates and exchange rate expectations.

Important Pondicherry University Questions

Part A (2 Marks)

1. Define exchange rate.
2. What is a fixed exchange rate?
3. What is a floating exchange rate?
4. What is UIP?
5. Define international financial market.
6. What is PPP theory?
7. What is capital mobility?
8. Define Mundell-Fleming Model.

Part B (10 Marks)

1. Explain exchange rate determination.
2. Discuss fixed and floating exchange rates.
3. Explain PPP theory.
4. Explain money, interest rate and exchange rate.
5. Explain international transactions and financial markets.

Part C (15 Marks)

1. Explain the Mundell-Fleming Model in detail.
2. Discuss fixed and floating exchange rate systems with merits and demerits.
3. Explain exchange rate determination and factors affecting it.
4. Explain price level and exchange rate in the long run.
5. Explain Uncovered Interest Rate Parity with assumptions and limitations.